

September 25 Quiz

I understand that I must take the quizzes only face-to-face in my assigned Discussion section using Honorlock and my webcam. The exam will be online, so I will need to bring my charged device with me to take the face-to-face exam. Scratch paper will be provided. No books or notes or other outside material can be used during the exam.

- A. True
- B. False

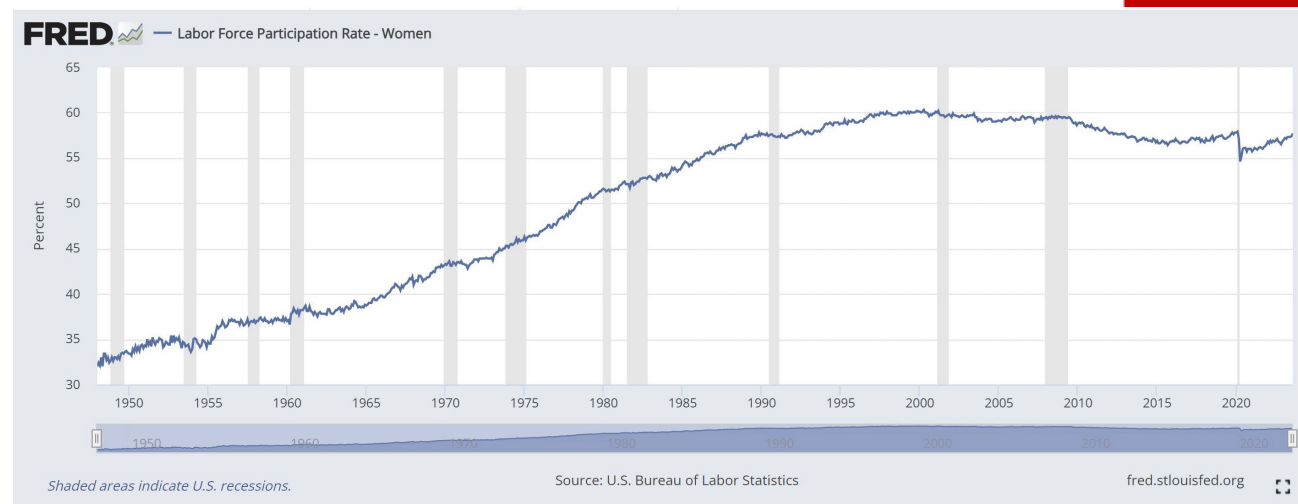




Ask Your Neighbor

The rise in women's labor force participation rates 1965-1995 might be explained by

- a. Greater materialism
- b. Improved job opportunities for women
- c. Efficiency gains in household work that freed up more time for market work
- d. Any or all of the above



Ask your neighbor

If an increase in after-tax real wages causes leisure to decrease, then we know that

- A. Substitution effects dominated Income effects
- B. Substitution effects were dominated by Income effects
- C. Substitution and Income effects were equal and opposite in sign
- D. None of the above—there isn't enough information to know

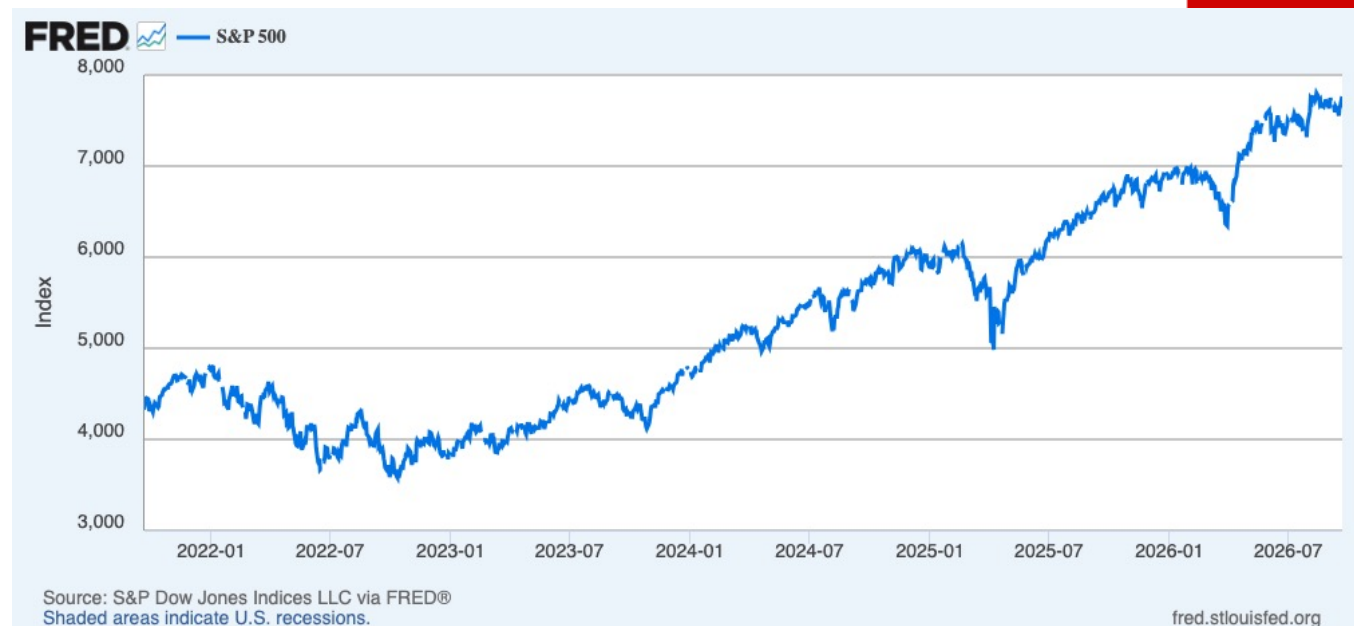




Ask Your Neighbor

According to the Chapter 4 One-Period model of the representative household, an increase in asset values increasing “profits” would most likely lead to a _____ in labor input and a _____ in Consumption.

- a. Decrease; decrease
- b. Decrease; increase
- c. Increase; decrease
- d. Increase increase





Ask Your Neighbor

According to the Chapter 4 one-period model of the representative firm, a proportional government wage subsidy will lead to

- a. A decrease in both labor demand and production
- b. An increase in both labor demand and production
- c. No change in either labor demand and production
- d. An ambiguous change in both labor demand and production



Ask your neighbor

Consider the following theoretical utility function:

$$U = a \ln C + b \ln(l)$$

Assume an increase in the coefficient b on leisure. All other things being equal, this will most likely

- A. Increase the forecasted estimate for Consumption C
- B. Increase the forecasted estimate for labor supply N
- C. Increase the forecasted estimate for leisure l
- D. Have no impact as income and substitution effects will offset.



Ask your neighbor

Consider the following one-period theoretical utility function:

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$$U(C, l) = aC + b\ln(l)$$

All other things being equal, this model will most likely predict _____ labor input at low levels of Income and _____ labor input at high levels of wage income

- A. Lower; lower
- B. Lower; higher
- C. higher; lower
- D. Higher; higher



Ask your neighbor

Consider the following one-period theoretical utility function:

$$U = C + b \ln(l)$$

where

$$C = w(1 - t)(h - l)$$

All other things being equal, an increase in after-tax real wages will cause leisure to

- A. Fall (substitution effect dominates the income effect)
- B. rise (income effect dominates the substitution effect)
- C. be unchanged (income and substitution effects cancel)
- D. Anything is possible



Ask Your Neighbor

Based on the theory and data from class, if economists use a log-linear utility function (below) to forecast the business-cycle responses of labor supply to a **decline** in the real wage, they will likely _____ both employment and GDP

$$U = a\ln C + b\ln(I)$$

- A. overestimate
- B. underestimate
- C. perfectly estimate
- D. be unable to estimate